

ASCII MASTER FLOW – PANEL 1/12: Banking legal perimeter

SCHEDULED BANK -> Second Schedule status

COMMERCIAL BANK -> deposits + payments + credit

CO-OPERATIVE BANK -> member form + banking oversight

NBFC -> financial company, not full bank powers

MUST REMEMBER: India's financial system separates scheduled banks, cooperative banks,...

ASCII MASTER FLOW – PANEL 2/12: Maturity transformation

WITHDRAWABLE DEPOSITS

-> pooled bank funding

-> longer loans and investments

RISK -> liquidity + credit + interest-rate mismatch

ASCII MASTER FLOW – PANEL 3/12: Multi-tier architecture

PSB / PRIVATE / FOREIGN
RRB / CO-OPERATIVE
SMALL FINANCE BANK
PAYMENTS BANK

ASCII MASTER FLOW – PANEL 4/12: Differentiated-bank fork

SFB -> deposits + lending

PAYMENTS BANK -> deposits + payments

PAYMENTS BANK -> no own-balance-sheet lending

RULE -> similar licence family, different powers

ASCII MASTER FLOW – PANEL 5/12: Rural-credit map

RRB -> rural intermediary

LEAD BANK -> district coordination

SERVICE AREA -> local responsibility

LIMIT -> coverage does not ensure viable credit

ASCII MASTER FLOW – PANEL 6/12: PSL target board

MOST DOMESTIC BANKS -> 40 per cent overall

AGRICULTURE -> 18 per cent

SMALL/MARGINAL FARMERS -> 10 per cent

WEAKER SECTIONS -> 12 per cent

ASCII MASTER FLOW – PANEL 7/12: PSL status gate

TARGETS COME FROM RBI MASTER DIRECTIONS

CATEGORIES AND SUB-TARGETS CAN CHANGE

QUOTE THE EFFECTIVE DIRECTION

DO NOT CALL A RATIO PERMANENT

ASCII MASTER FLOW – PANEL 8/12: NBFC contagion chain

WHOLESALE FUNDING + MATURITY MISMATCH

-> IL&FS / DHFL stress

-> mutual funds + banks + markets

LESSON -> non-bank stress can be systemic

ASCII MASTER FLOW – PANEL 9/12: Depositor protection boundary

DICGC -> eligible bank deposits

OWNER CAP -> Rs 5 lakh per depositor per bank

OUT -> securities + insurance + ordinary NBFC claims

PCA -> prevention, not payout

ASCII MASTER FLOW – PANEL 10/12: Regulatory perimeter

RBI -> banks + NBFCs + payments

SEBI -> securities

IRDAI / PFRDA -> insurance / pensions

FSDC -> cross-sector coordination

CLOSE DISTINCTION: Bank is not NBFC, deposit-taking permission is not universal,...

ASCII MASTER FLOW – PANEL 11/12: Balance-sheet and inclusion traps

LOANS / INVESTMENTS -> assets

DEPOSITS -> liabilities

FI-INDEX -> Access + Usage + Quality

SYNDICATION -> shared exposure, not zero risk

EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Identify regulator, statute/direction,...

ASCII MASTER FLOW – PANEL 12/12: Financial-regulation answer spine

CLASSIFY institution and powers

MAP funding + leverage + safety net

TRACE contagion and supervision

BALANCE inclusion, diversity and stability